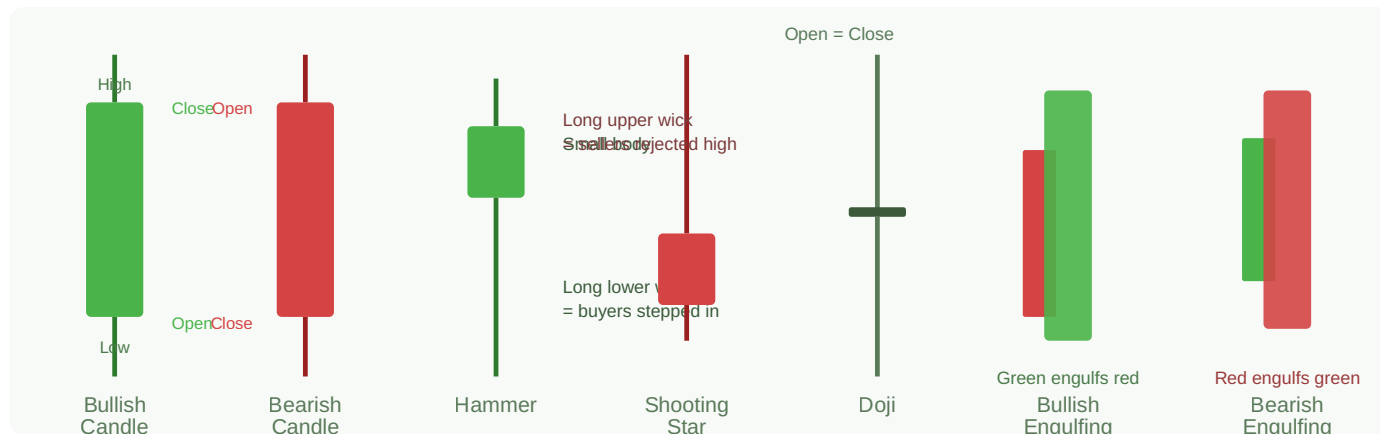


The language of trading is built on candlestick patterns and market terminology. Understanding what each pattern signals and what every term means is the foundation of reading price action and executing a consistent trading strategy.

#### CANDLESTICK TYPES — VISUAL REFERENCE



#### MAJOR CANDLESTICK PATTERNS — COMPLETE REFERENCE

| PATTERN           | TYPE                      | WHAT IT SIGNALS                              | BEST CONTEXT                            | CONFIRMATION NEEDED                         |
|-------------------|---------------------------|----------------------------------------------|-----------------------------------------|---------------------------------------------|
| Hammer            | Bullish reversal          | Buyers rejected lower prices strongly        | At support after a downtrend            | Next green candle closing above hammer high |
| Inverted Hammer   | Potential bullish         | Buyers attempted to push higher              | At support after a downtrend            | Next green candle with strong close         |
| Shooting Star     | Bearish reversal          | Sellers rejected higher prices strongly      | At resistance after an uptrend          | Next red candle closing below low           |
| Hanging Man       | Bearish reversal          | Same shape as hammer but in uptrend context  | At resistance after an uptrend          | Next red candle with conviction             |
| Doji              | Indecision                | Neither buyers nor sellers in control        | End of a trend as reversal warning      | Direction of next candle determines outcome |
| Bullish Engulfing | Strong bullish reversal   | Strong shift from sellers to buyers          | Key support after a decline             | High volume on the engulfing candle         |
| Bearish Engulfing | Strong bearish reversal   | Strong shift from buyers to sellers          | Key resistance after a rally            | High volume on the engulfing candle         |
| Marubozu green    | Strong bullish momentum   | Buyers completely dominated the session      | Breakouts and strong trend days         | No confirmation needed                      |
| Morning Star      | Bullish reversal 3-candle | Three-day transition from bearish to bullish | After significant downtrend at support  | Volume increases on the third candle        |
| Evening Star      | Bearish reversal 3-candle | Three-day transition from bullish to bearish | After significant uptrend at resistance | Volume increases on the third candle        |

## ESSENTIAL MARKET TERMINOLOGY — A TO Z REFERENCE

| TERM            | DEFINITION                                                                                              |
|-----------------|---------------------------------------------------------------------------------------------------------|
| Ask             | The lowest price a seller will currently accept for their shares                                        |
| Bid             | The highest price a buyer will currently pay for shares                                                 |
| Catalyst        | A news event or announcement that provides a reason for significant price movement                      |
| Circuit breaker | A temporary trading halt triggered when a stock drops a specific percentage quickly                     |
| Float           | Total shares available for public trading — low float stocks are more volatile                          |
| Gap             | When a stock opens significantly above or below its previous session closing price                      |
| Level 2         | Real-time display of all current bids and asks in the order book                                        |
| Margin          | Borrowed capital from your broker to trade with more than your account balance                          |
| PDT Rule        | Pattern Day Trader Rule — requires \$25,000 minimum for 4+ day trades per week in a margin account      |
| RVOL            | Relative Volume — today's volume compared to the 20-day average daily volume                            |
| Short interest  | Percentage of shares currently sold short — high = squeeze potential                                    |
| Short squeeze   | Heavily shorted stock rises sharply, forcing short sellers to buy back shares, accelerating the move up |
| Spread          | Difference between the current bid and ask price                                                        |
| Tape reading    | Analyzing the real-time stream of transactions to identify buying and selling pressure                  |
| VWAP            | Volume Weighted Average Price — average of all transactions weighted by volume, resets each session     |

### TST CORE PRINCIPLE

You do not need to memorize every candlestick pattern. Master the hammer, shooting star, doji, bullish engulfing, and bearish engulfing patterns. Those five cover the vast majority of reversal signals you will ever trade.

Full candlestick and technical analysis curriculum in the TST Academy Beginner section at [topstocktrading.com](https://topstocktrading.com)